Solicitor Ledger & Compliance System

Detailed Compliance Overview — SRA Accounts Rules 2019 Alignment

This document explains how the Solicitor Ledger & Compliance System aligns operational workflows with the Solicitors Regulation Authority (SRA) Accounts Rules 2019. Compliance safeguards are embedded directly into system logic to protect client money, maintain accurate accounting records, and ensure continuous audit readiness.

Regulatory Alignment Summary

SRA Rule	Regulatory Requirement	System Implementation
Rule 2	Protection of Client Money	Client balances cannot become negative. Funds remain unavailable until cleared, preventing misuse or premature withdrawal.
Rule 3	Separation of Client and Office Money	Dedicated ledgers and enforced account separation ensure firm funds and client funds cannot be mixed.
Rule 8	Maintenance of Accounting Records	Immutable chronological transactions with permanent audit visibility and full user attribution.
Rule 8.3	Regular Reconciliation	Three-way reconciliation comparing client ledger totals, cashbook balances, and cleared bank balances.
Rule 8.6	Production of Records on Demand	Inspection-ready reporting with structured PDF and Excel exports available instantly.

Client Ledger Controls (SRA Rules 2 & 8)

Each client matter operates within an independent ledger ensuring accurate tracking of client funds on a per-matter basis. Negative balances are prevented, posting to closed matters is blocked, and corrections are performed exclusively via reversal entries to maintain audit integrity.

Client Cashbook Management (SRA Rule 8.1)

The cashbook maintains a chronological record mirroring the client bank account. Cheque lifecycle controls ensure funds remain unavailable until cleared, preventing improper use of client money.

Office Account Separation (SRA Rule 3)

Firm operational finances are maintained independently from client money. Office transactions affect firm profitability only and are excluded from client reconciliations, ensuring regulatory separation.

Transaction Integrity & Audit Trail (SRA Rule 8)

Transactions cannot be edited or deleted. All actions are logged with user attribution and timestamps, allowing complete reconstruction of accounting history during inspections.

Reconciliation Framework (SRA Rule 8.3)

Structured reconciliation compares ledger totals, cashbook balances, and bank statement figures while allowing accounting periods to be locked once verified.

Reporting & Record Production (SRA Rule 8.6)

Reports provide inspection-ready accounting records with chronological transaction history and export functionality supporting audit and compliance review.

Role-Based Access Controls (Internal Control Requirements)

Operational permissions allow staff to perform daily cashiering tasks while administrative functions such as reversals and reconciliation unlocking remain restricted to authorised users.

Backup & Disaster Recovery (Record Safeguarding)

Automated and manual backups protect accounting data, while controlled restoration procedures ensure secure recovery with full audit logging of recovery actions.

Conclusion

By embedding compliance safeguards directly into operational behaviour, the Solicitor Ledger & Compliance System reduces reliance on manual accounting controls and supports UK law firms in maintaining ongoing compliance with the SRA Accounts Rules 2019 while improving transparency, accountability, and audit readiness.